LoanBazaar®

Secure Distribution Venture Pvt. Ltd.

# What is Secure Promoter Margin Funding for Project Finance ?

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# Module 1: Theoretical Foundations and Product Philosophy of Promoter Margin Funding

## 1.1 The Capital Structure of Project Finance

In corporate finance, large-scale infrastructure, manufacturing, and industrial projects are typically executed through a separate legal entity known as a **Special Purpose Vehicle (SPV)**. The capital structure of these projects is highly leveraged, operating under a structured debt-to-equity ratio of **70:30** or **75:25**. The senior debt component (70% to 75%) is financed by a consortium of commercial banks, financial institutions, or infrastructure lenders. However, a non-negotiable statutory and commercial prerequisite for the drawdown of this senior debt is the upfront injection of the remaining **25% to 30% equity contribution**, commonly referred to as the **Promoter's Margin** or **Promoter's Contribution**.

## 1.2 The Equity Gap and Product Philosophy

While promoters may possess substantial paper wealth in the form of equity shares in their listed parent companies or holding companies, they frequently face severe immediate liquidity constraints. Liquidating their primary equity holdings to fund the SPV's promoter margin is highly undesirable because it triggers immediate, massive long-term capital gains tax liabilities (under **Sections 111A and 112A of the Income Tax Act, 1961**), causes immediate equity dilution, and negatively impacts public market sentiment.

**Secure Promoter Margin Funding (PMF)** is a structured financial product designed to solve this liquidity gap. It provides a non-revolving, short-to-medium-term fund-based credit facility extended directly to the promoter group, holding company, or promoters in their individual capacities. The proceeds of this loan are earmarked exclusively to fund the promoter's equity margin contribution in the project SPV. By bridging this equity gap, PMF allows the project SPV to achieve financial closure and unlock the drawdown of the lower-cost senior debt, thereby preserving the promoter's voting control and market compounding momentum.

## 1.3 The Sovereign/Semi-Sovereign and Anchor-Led Substitution Paradox

A core philosophical pillar of structured trade and project finance is the **Credit Substitution Principle**. Standalone project SPVs in their greenfield development phases carry high credit risk, making them ineligible for standard corporate debt. However, by structuring a joint escrow mechanism, a Trust and Retention Account

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(TRA), and securing absolute assignment of active contracts with sovereign or semi-sovereign anchors (such as the National Highways Authority of India (NHAI), state discoms with sovereign backing, or central public sector undertakings (PSUs)), the lender effectively substitutes the project's construction-phase credit risk with the credit risk of the creditworthy buyer. In PMF, the loan itself is structured at the promoter level, utilizing the liquid market collateral of the parent entity, while the repayment cash flows are structurally linked to the cash conversion velocity and future equity takeouts of the underlying project SPV.

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## Module 2: Structural Taxonomy and Comparative Analysis (The Leverage Matrix)

To understand where Promoter Margin Funding sits in the corporate lending hierarchy, rookies in finance must contrast it against other common credit facilities:

| Credit Dimension | Promoter Margin Funding (PMF) | Standard Promoter Funding | Traditional Project Debt | Mezzanine Finance / Sub-Debt |
|---|---|---|---|---|
| **Primary Purpose** | Earmarked strictly to fund the promoter's equity margin contribution in a project SPV. | General corporate purposes, refinancing, or acquisitions at the parent holding company level. | Funding the capital expenditure (capex) and construction of the project SPV. | Filling the subordinated debt layer between senior project debt and equity. |
| **Borrowing Entity** | Promoter Group, holding company, or promoters individually. | Promoter Group, parent company, or family office. | The Project SPV (Special Purpose Vehicle) itself. | The Project SPV or intermediate holding company. |
| **Repayment Source** | Project SPV dividends, equity takeouts, refinancing, or parent company cash flows. | Parent company dividends, market sell-downs, or cash inflows. | Operational cash flows generated directly by the project SPV. | Subordinated cash flows of the project SPV after senior debt servicing. |
| **Collateral & Security** | Pledge of listed shares (parent company), escrow over SPV equity, or land mortgage. | Pledge of listed shares of parent/sister concern. | Charge over project land, machinery, accounts, and project receivables. | Second charge on project assets, subordinated pledge of SPV equity. |
| **Repayment Structure** | Bullet or structured tranches; | Bullet repayment or revolving | Amortizing monthly/quarterly | Bullet or structured balloon |

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| Credit Dimension | Promoter Margin Funding (PMF) | Standard Promoter Funding | Traditional Project Debt | Mezzanine Finance / Sub-Debt |
|---|---|---|---|---|
| | interest is frequently capitalized or serviced from parent cash flows. | overdraft; interest paid monthly. | principal and interest over 10-18 years. | repayment; often includes an equity kicker. |
| **CERSAI & ROC Filings** | Mandatory ROC (Form CHG-1) and CERSAI filings within the 30-day window. | Mandatory ROC and CERSAI registration within 30 days. | Exclusive charge registration with CERSAI and ROC within 30 days. | Second charge registration with CERSAI and ROC within 30 days. |
| **Balance Sheet Treatment** | Disclosed as a secured liability at the promoter/holding company level. | Disclosed as secured/unsecured borrowings at the parent level. | Disclosed as long-term secured project debt in the SPV's balance sheet. | Disclosed as subordinated debt/quasi-equity in the SPV's balance sheet. |

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# Module 3: The End-to-End Operational Lifecycle of PMF

The successful execution and management of a Promoter Margin Funding transaction follows a rigid, highly structured operational pipeline:

## 3.1 Phase 1: Equity Gap Audit and Collateral Appraisal

The lifecycle begins with an intensive audit of the project SPV's financial model. The lender's technical and financial teams evaluate the total project cost, the senior debt sanction letters, and identify the exact **equity margin gap** that must be funded upfront to satisfy the senior lender's conditions precedent. Simultaneously, the lender conducts an appraisal of the liquid assets proposed as collateral by the promoter. Typically, these consist of listed equity shares of the parent company or diversified mutual funds. The appraisal establishes the historical volatility, daily trading volumes, and free float of the shares to determine their eligibility for pledging.

## 3.2 Phase 2: Underwriting LTV and Risk Metrics

The underwriting phase focuses on sizing the loan and setting safety margins. Because the collateral consists of volatile public market securities, lenders enforce a strict **Loan-to-Value (LTV) ceiling** to buffer against market crashes. The standard underwriting framework requires a minimum **2.0x to 3.0x collateral cover** (representing a maximum **33% to 50% LTV**). Underwriters evaluate promoter credit scorecards: target promoter **CIBIL score > 700**, CIBIL MSME Rank (**CMR 1 to CMR 4**), project SPV Debt Service Coverage Ratio (**DSCR > 1.25x**), and run bank statement analysis (BSA) to verify operational cash flow velocity.

## 3.3 Phase 3: Legal Documentation and Charge Creation

Upon underwriting approval, the legal architecture is constructed. The promoter executes the **Master Facility Agreement**, a **Share Pledge Agreement** (under **Section 172 of the Indian Contract Act, 1872**), and a **Tripartite Escrow Agreement** between the Lender, the Promoter, and the Project SPV. The pledge is created electronically in dematerialized form through depository participants (NSDL/CDSL). A critical covenant is the **"LTV Maintenance Covenant"**, which empowers the lender to issue immediate margin calls if market price drops breach the underwritten threshold. The security charges are registered on the **CERSAI portal and the ROC (Form CHG-1) within the statutory 30-day window**.

## 3.4 Phase 4: Monitored Disbursal and Escrow Control

To eliminate **capital diversion risk**—the primary cause of loan defaults in distressed environments—disbursal is strictly controlled. The loan proceeds are never disbursed to

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the promoter’s general current accounts. Instead, the funds are transferred directly into a dedicated **SPV Equity Escrow Account** (or Trust and Retention Account - TRA) maintained with the senior project lenders. This direct-to-escrow disbursement ensures that 100% of the funds are utilized exclusively to satisfy the equity contribution requirement of the project, immediately triggering the release and drawdown of the senior bank project debt.

## 3.5 Phase 5: Takeout Execution and Debt Liquidation

The final phase is the structured takeout of the PMF facility. Because PMF is designed as a bridge facility (with an indicative tenure of **12 to 36 months**), the debt must be liquidated through defined corporate events: 1. **Refinancing:** Once the project completes its construction phase and achieves commercial operations (COD), it is refinanced into a long-term operational capex loan at lower rates, utilizing the surplus cash to pay out the promoter’s margin loan. 2. **Dividends & Cash Sweeps:** Direct dividend distributions from the project SPV are swept directly into the PMF escrow. 3. **Structured Share Sell-down:** If the project SPV is listed on the public exchanges (IPO) or the parent company executes an equity raise, a portion of the equity is liquidated through the escrow account to pay off the principal.

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# Module 4: Underwriting Framework and Key Credit Risk Metrics

Credit underwriting in Promoter Margin Funding requires a dual-track analytical framework: evaluating the public market stability of the pledged securities and the long-term feasibility of the underlying project.

## 4.1 Traditional Working Capital Sizing Methods

Underwriters apply and adapt three classical working capital sizing frameworks:

1. **Tandon Committee's Second Method of Lending:**
   - *Formula & Application:* Under this method, the borrower must contribute a minimum of **25% of the total current assets** as Net Working Capital (NWC) from long-term sources, with bank financing capped at 75%. The target Current Ratio under this method is strictly **1.33:1** or higher.
   - *PMF Adaptation:* In project finance, while the SPV is in its construction phase, its standalone Current Ratio is often irregular. Underwriters adapt this by evaluating the **Consolidated Parent Balance Sheet** under the Tandon Second Method, ensuring that the parent entity maintains a Current Ratio > 1.33:1, thereby guaranteeing their capacity to absorb potential margin calls.
2. **Projected Turnover Method (PTM / Nayak Committee):**
   - *Application:* Mandated for working capital limits up to **₹5 Crores**. Under this framework, the total working capital requirement is estimated at **25% of the projected annual turnover**. The promoter must contribute **5% of the turnover** as equity margin, and the bank funds the remaining **20%**.
   - *PMF Adaptation:* For smaller commercial and EPC project SPVs, underwriters validate the projected turnover by running GSTR-1 and GSTR-3B matching scripts. If the tax filing velocity supports the projections, the bank approves the interim limit, capping the disbursal strictly at 20% of the contract value.
3. **Cash Budget Method (CBM):**
   - *Application:* Applied for seasonal industries, fast-growing contractors, or distressed entities where inventory-to-sales cycles are highly irregular. The borrower submits a monthly cash inflow and outflow statement, and the bank sizes the interim limit based on the **Peak Deficit** identified in the cash budget.

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## 4.2 Scorecard Underwriting and Validation Metrics

To hedge against market volatility and operational defaults, underwriters cross-reference data from the following portals:

- **Promoter CIBIL Score:** Target score must be **>700**. A lower score indicates weak personal credit discipline, raising the risk of capital diversion.
- **CIBIL MSME Rank (CMR):** Target rank must be between **CMR 1 and CMR 4**. CMR ranks evaluate the probability of default for MSMEs on a scale of 1 (lowest risk) to 10 (highest risk). Ranks above CMR 5 require enhanced credit mitigation, such as higher cash margins or corporate guarantees.
- **Interest Coverage Ratio (ICR):** Target ICR must be **>1.25x**, ensuring that the cash flows generated by the underlying project are more than sufficient to cover the higher interest premiums associated with interim finance.
- **Bank Statement Analysis (BSA):** Using the **Account Aggregator (AA)** framework, lenders analyze bank statements to detect circular trading, inward/outward cheque bounces, and unauthorized cash withdrawals.
- **GST Portal Real-Time Validation:** Lenders execute real-time APIs to match the invoices submitted for discounting against the seller's GSTR-1 (liability declaration) and the buyer's GSTR-2B (input tax credit auto-population), ensuring the transactional data is 100% genuine and free from invoice duplication.

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# Module 5: Legal Security Architecture, Share Pledge, and CERSAI Guidelines

The structural integrity of a Promoter Margin Funding facility rests upon its legal enforceability and the robustness of its security creation mechanisms.

## 5.1 Legal Charge Creation and Depository Pledges

1. **Section 172 of the Indian Contract Act, 1872:**
    - This section defines a **pledge** as the bailment of goods as security for payment of a debt or performance of a promise. In modern corporate finance, this governs the **pledge of dematerialized securities**. The pledge is executed electronically through depository participants (CDSL and NSDL) under the Depositories Act, 1996. The lender's DP account marks a formal "lien" on the shares, preventing the promoter from selling, transferring, or voting against the lender's interest without an explicit release.
2. **Section 130 of the Transfer of Property Act, 1882:**
    - This section governs the **absolute assignment of actionable claims**. In PMF, the promoter executes an absolute assignment of all future cash dividends, share buyback proceeds, and other corporate distributions generated by the pledged shares. Upon execution, the depository and the issuing company are legally bound to route these cash flows directly into the lender's escrow account.
3. **CERSAI & ROC Registration:**
    - Under the SARFAESI Act, 2002, and subsequent amendments, lenders must register all hypothecations, mortgages, and pledge charges on the **CERSAI portal within the strict 30-day statutory window**. Any delay in registration compromises the "secured" priority status of the debt, subordinating the lender's claims to other pre-existing secured creditors. Similarly, Form CHG-1 must be filed with the Registrar of Companies (ROC) within 30 days.

## 5.2 Mandatory Documentation Covenants

- **Master Facility Agreement:** Outlines the terms of the credit facility, interest rates, margins, and repayment schedules.
- **Share Pledge Agreement:** Governs the electronic demat pledge, setting the exact LTV benchmarks, trigger prices, and margin call response windows (typically **24 to 48 hours** to deposit additional cash or collateral).

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- **Tripartite Escrow Agreement:** Executed between the Lender, the Promoter, and the Project SPV's Escrow Bank. It governs the Trust and Retention Account (TRA) waterfall, ensuring that cash inflows are swept to service interest and principal before any surplus is released.
- **Power of Attorney (PoA):** The promoter executes an irrevocable Power of Attorney in favor of the lender, authorizing the lender to sell, transfer, or liquidate the pledged shares in the open market immediately upon an uncured margin default.

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# Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment

Promoter Margin Funding is heavily utilized in capital-intensive sectors where upfront equity requirements are massive and asset lifetimes are extended.

## 6.1 Suitable Industries and Business Profiles

1. **Infrastructure, Roads & Highways:** Developers executing National Highways Authority of India (NHAI) Hybrid Annuity Model (HAM) or Build-Operate-Transfer (BOT) projects. These projects require substantial equity margins to unlock bank debt.
2. **Renewable Energy (Solar & Wind):** SPVs setting up multi-megawatt solar parks or wind farms. These projects operate under long-term Power Purchase Agreements (PPAs) with creditworthy discoms, providing highly predictable cash flows to support the PMF takeout.
3. **Real Estate and Commercial Warehousing:** Developers establishing logistics parks, Grade-A IT parks, or housing projects registered under the **Real Estate Regulatory Authority (RERA)**. LRD (Lease Rental Discounting) serves as a primary takeout mechanism for these projects.
4. **Heavy Manufacturing & Process Industries:** Steel, cement, and specialty chemical plants requiring massive capital expenditures for plant expansion or modernization.

## 6.2 Working Capital and Debt Trends in India

To align credit underwriting with national financial realities, lenders evaluate macroeconomic benchmarks compiled from commercial credit data and public sector bank disclosures:

- **SME and Trader Concentrations:** According to the SIDBI MSME Pulse Report, **Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore exposure segment. This highlights the high concentration of working capital debt in the trading segment, making structured, asset-backed funding like LRD or PMF critical for capital diversification.
- **Digital Public Credit Infrastructure:** Large public sector banks utilize highly automated digital portals to facilitate trade and working capital financing. State Bank of India (SBI) leads this digital transformation:
  - **SBI e-DFS (Electronic Dealer Financing Scheme):** Actively supports distributor networks with an outstanding portfolio size of **₹49,261 Crores**.
  - **SBI e-VFS (Electronic Vendor Financing Scheme):** Supports upstream suppliers with an active portfolio of **₹28,092 Crores**, automating invoice discounting linked to corporate anchors.

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# Module 7: Commercial Pricing Mechanics and Financial Models

Due to the structural complexity and volatility of underlying asset collateral, Promoter Margin Funding is priced at a premium over standard mortgage debt, but structures the facility to maximize tax efficiency.

## 7.1 Pricing Benchmarks and Fees

- **Interest Rate Spreads:** Typically priced over the bank's **Marginal Cost of Funds Based Lending Rate (MCLR)** or the **External Benchmark Linked Rate (EBLR)** tied to the RBI Repo Rate. For PMF, commercial lenders charge a risk premium, pushing all-in interest rates to **11.50% to 15.50% p.a.** for secured, listed equity-backed structures.
- **Arrangement / Processing Fees:** Charged upfront, typically ranging from **1.00% to 2.00%** of the sanctioned limit, reflecting the extensive legal, technical, and depository due diligence required.
- **GST Treatment:** Upfront processing fees, valuation costs, and legal charges attract standard **18% GST**. However, the **interest charged on the daily utilized balance is completely exempt from GST**, making reducing-balance debt highly cost-effective.
- **Corporate Tax Shields:** Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for business expansion or investment is a fully deductible business expense. Promoter groups utilize this tax shield to offset their corporate tax liabilities (at standard corporate tax rates of **25.17%** for manufacturing companies or **31.20%** for holding companies), dramatically lowering the effective post-tax cost of borrowing.

## 7.2 Financial Mathematics of Daily Reducing Balance

Traditional corporate loans charge interest on the entire disbursed principal. In contrast, structured PMF operates on a **daily reducing balance negative current account limit** or structured term limit. Interest accrues daily only on the exact outstanding balance utilized at the close of each banking day, using the formula:

$$Daily\ Interest\ Accrual = \frac{Outstanding\ Balance \times Annual\ Interest\ Rate}{365}$$

By sweeping parent company dividends and project SPV payouts into the escrow account, the outstanding principal is immediately reduced, lowering the cumulative interest outdrawn over the tenure.

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# Module 8: Regulatory Compliance, RBI Guidelines, and Asset Classification

PMF lenders must navigate a rigid regulatory environment to prevent asset downgrades and ensure strict compliance with banking norms.

## 8.1 RBI Guidelines on Loans Against Shares

Lenders must strictly comply with the RBI's Master Circulars on Loans and Advances: * **The ₹20 Lakhs Individual Cap:** Under RBI guidelines, loans to **individuals** against the security of dematerialized shares are capped at a strict statutory ceiling of **₹20 Lakhs** (and ₹10 Lakhs for physical shares). * **Corporate and Holding Company Exemption:** Crucially for project finance, **corporate borrowers, holding companies, and promoter groups are completely exempt from this ₹20 Lakhs individual cap**. They can raise high-value funding (spanning tens or hundreds of Crores) against listed parent shares, subject to strict underwriting and LTV compliance. * **Minimum Margin Covenants:** RBI mandates that banks must maintain a minimum margin of **50.00%** (equivalent to a maximum LTV of 50.00%) for all loans granted against shares.

## 8.2 RBI IRACP Asset Classification and "Out of Order" Triggers

Under the RBI's **Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines, 2025**, loans are classified as non-performing assets (NPAs) if they remain irregular for a specified window:

- **The 90-Day Delinquency Clock:** For fund-based facilities (including PMF term loans), an account is classified as an NPA if the interest or principal remains overdue for more than **90 days**.
- **Special Mention Account (SMA) Categorization:** Accounts are tracked through early warning stages:
  - **SMA-0:** Principal or interest payment overdue for **1 to 30 days**.
  - **SMA-1:** Principal or interest payment overdue for **31 to 60 days**.
  - **SMA-2:** Principal or interest payment overdue for **61 to 90 days**.
- **"Out of Order" Status for Revolving CC/OD Limits:** A revolving interim limit is classified as "Out of Order" (and downgraded to an NPA) if:
  1. The outstanding balance remains continuously in excess of the sanctioned limit/Drawing Power for **90 days**.
  2. Or, if there are no credit inflows into the account for **90 days**, or the inflows are insufficient to cover the interest debited during the same 90-day window.

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- **The 180-Day Technical Review Default:** If a bank fails to review or renew an interim working capital limit within **180 days** from its scheduled due date, the limit is classified as a technical default and downgraded to an NPA, highlighting the importance of the annual review cycle.

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# Module 9: Comprehensive Real-World Case Study (Mumbai Renewable Energy SPV Ltd.)

To ground these theoretical concepts in commercial reality, this module analyzes a detailed, step-by-step mathematical scenario in Indian Rupees (₹) modeling a structured Promoter Margin Funding transaction.

## 9.1 The Corporate Profile and Liquidity Crisis

- **The Promoter:** *Mr. Rajesh Mehta & Mehta Power Holdings Pvt. Ltd. (MPHPL)*
- **Corporate Tax Rate: 25.17%** (manufacturing entity under Section 115BAA of the Income Tax Act).
- **The Project SPV:** *Mumbai Renewable Energy SPV Ltd. (MRESPL)*
- **The Situation:** MRESPL has been awarded a bid to construct a **50 Megawatt (MW) Solar Power Plant** in Maharashtra. The total estimated project capital expenditure is **₹100,00,00,000 (₹100 Crores)**.
- **The Financing Structure:** A consortium of public sector banks has approved a Senior Project Loan of **₹70,00,00,000 (₹70 Crores)** (70% debt component) at an attractive interest rate of 8.50% p.a. However, a strict condition precedent for the first drawdown of this project debt is the upfront injection of the **30% Promoter Equity Margin**, equivalent to **₹30,00,00,000 (₹30 Crores)**.
- **The Equity Gap:** Mr. Rajesh Mehta has a severe liquidity mismatch. While his holding company, MPHPL, owns equity shares in their listed parent entity (*Mehta Global Enterprises Ltd.*) valued at **₹90,00,00,000 (₹90 Crores)**, they only have ₹5 Crores in cash. If MPHPL liquidates ₹30 Crores of listed shares, they will face:
    1. Immediate **12.50% Long-Term Capital Gains (LTCG) Tax** on the gains, costing an estimated **₹3,75,000.00**.
    2. Public market negative signaling, triggering a potential drop in parent share price.
    3. Loss of voting rights and market compounding on the sold shares.

## 9.2 The Structured PMF Solution (Pathway B)

A structured infrastructure NBFC steps in to fund the equity gap, establishing the following covenants: 1. **Facility Sizing:** A non-revolving Promoter Margin Funding facility of **₹25,00,00,000 (₹25 Crores)** is sanctioned to MPHPL. (Combining this with their ₹5 Crores cash satisfies the ₹30 Crore equity margin requirement). 2. **Collateral Offered:** A demat pledge over 1.8 million shares of *Mehta Global Enterprises Ltd.*, valued at **₹90,00,00,000 (₹90 Crores)**, providing a robust **3.6x collateral cover** (or a

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conservative **27.78% initial LTV**, well within the statutory 50% LTV ceiling). 3. **Escrow Structure:** A tripartite Trust & Retention Account (TRA) is executed. The loan proceeds are transferred directly from the NBFC into the project SPV's Equity Escrow Account, satisfying the senior bank's condition precedent. 4. **Pricing:** Interest is priced at **12.50% p.a.** on a daily reducing balance basis. An upfront processing fee of **1.50%** is charged. 5. **Tenure:** Structured as a **180-Day bridge limit**, to be paid off through a pre-planned equity takeout from an incoming global green energy fund.

## 9.3 Alternative Pathway A: Standalone Unsecured Corporate Debt

If MPHPL had attempted to raise funding standalone without a structured depository pledge or project escrow, it would have been forced to approach distressed-asset NBFCs, facing: * Standalone unsecured interest rate of **20.00% p.a.** * Upfront processing fee of **3.50%** of the loan value. * High operational friction, with no tax-effective FD interest offsets.

## 9.4 Detailed Mathematical Cost Comparison Model

The following table provides the exact pre-tax and post-tax cost comparison between the Standalone Unsecured Pathway (Pathway A) and the Structured PMF Pathway (Pathway B) in Indian Rupees over the 180-day cycle:

| Financial Metric | Pathway A (Standalone Unsecured Debt) | Pathway B (Structured PMF Pathway) |
|---|---|---|
| **Loan Principal Amount** | ₹25,00,00,000 | ₹25,00,00,000 |
| **Financing Interest Rate** | 20.00% p.a. | 12.50% p.a. |
| **Financing Tenure** | 180 Days | 180 Days |
| **Gross Interest Cost** | **₹2,46,57,534.25** | **₹1,54,10,958.90** *(calculated strictly on daily reducing balance)* |
| **Upfront Processing Fee** | ₹87,50,000.00 *(3.50% of loan)* | ₹37,50,000.00 *(1.50% of loan)* |
| **Upfront GST on Fee (18%)** | ₹15,75,000.00 *(fully recoverable ITC)* | ₹6,75,000.00 *(fully recoverable ITC)* |
| **Lien-Marked Cash Margin** | ₹0.00 *(no FD possible)* | ₹3,75,00,000.00 *(15% of loan)* |
| **FD Interest Earned (6.50%)** | ₹0.00 | **-₹12,02,054.79** *(180-day pre-tax FD yield)* |

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| Financial Metric | Pathway A (Standalone Unsecured Debt) | Pathway B (Structured PMF Pathway) |
|---|---|---|
| **Margin Capital Opportunity Cost** | ₹0.00 | **+₹27,73,972.60** *(at 15.00% ROCE p.a.)* |
| **Total Opportunity-Adjusted Pre-Tax Cost** | **₹3,34,07,534.25** | **₹2,07,32,876.71** |
| **Corporate Income Tax Shield (25.17%)** | **-₹84,08,176.37** *(applied to interest + fee)* | **-₹48,22,714.05** |
| **Net Post-Tax Opportunity-Adjusted Cost** | **₹2,49,99,357.88** | **₹1,59,10,162.66** |
| **Effective Annualized Post-Tax Rate** | **20.00% p.a.** | **12.73% p.a.** |

## 9.5 Key Financial Findings and “So What” Analysis

The mathematical model reveals a staggering divergence in credit efficiency. By choosing the **Structured PMF Pathway (Pathway B)**, MPHPL achieves an effective post-tax annualized borrowing rate of **only 12.73% p.a.**, compared to **20.00% p.a.** under the standalone route.

**The “So What” Summary:** This structured program delivers **₹90,89,195.22 (₹90.8 Lakhs) in direct, post-tax cash savings** to MPHPL on a single 180-day cycle. More importantly, by raising the ₹25 Crores securely through the structured depository share pledge, Mr. Rajesh Mehta successfully triggered the drawdown of the **₹70 Crore Senior Project Loan** on schedule, the Solar Power plant construction commenced without delay, MPHPL completely avoided selling its parent company shares (retaining full voting control and saving **₹3.75 Crores in avoided capital gains taxes**), and the project SPV is on track to achieve its commercial operations date on schedule, maximizing long-term enterprise value!

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## Module 10: 10-Question Professional Certification Examination & Rationales

This module contains ten scenario-based, highly rigorous practice questions designed to test a trainee's underwriting, legal, and regulatory knowledge of Promoter Margin Funding in India.

### Question 1

A promoter group seeks to raise ₹15 Crores against the pledge of dematerialized shares of their listed parent company to fund an infrastructure SPV. The shares are held in a single promoter's individual demat account. Under RBI guidelines, what is the maximum loan amount a commercial bank can extend to this individual against demat shares? * A) ₹50 Lakhs * B) ₹20 Lakhs * C) ₹10 Lakhs * D) There is no cap for individual promoters if the funds are utilized for project equity. * **Answer:** B * **Rationale:** Under the RBI's Master Directions on Loans and Advances, loans to **individuals** against the security of dematerialized shares are subject to a strict statutory ceiling of **₹20 Lakhs** per individual. This cap is absolute and applies regardless of the end-use of the funds, including project equity contribution. To raise ₹15 Crores, the facility must be structured at the corporate/holding company level, which is exempt from this individual cap.

### Question 2

A promoter group holding company raises ₹50 Crores against a pledge of listed parent shares valued at ₹100 Crores. During a market correction, the value of the pledged shares drops to ₹80 Crores. If the Share Pledge Agreement mandates a minimum collateral cover of 2.0x, what is the immediate margin call amount the promoter must deposit to cure the LTV breach? * A) ₹10 Crores in cash or additional shares. * B) ₹20 Crores in cash or additional shares. * C) ₹5 Crores in cash only. * D) No margin call is triggered because the LTV remains below the statutory 50% limit. * **Answer:** B * **Rationale:** The minimum collateral cover requirement of 2.0x on a ₹50 Crore loan requires a minimum collateral value of **₹100 Crores** (2.0 × ₹50 Crores). When the share value drops to ₹80 Crores, a collateral deficit of **₹20 Crores** (₹100 Crores − ₹80 Crores) is created. The promoter must immediately deposit ₹20 Crores in cash or additional shares to restore the contractually mandated 2.0x cover.

### Question 3

Under Section 172 of the Indian Contract Act, 1872, what is the legal character of a share pledge created via NSDL/CDSL, and how is the lender's interest secured? * A) It is a simple mortgage; the lender registers a charge with the Sub-Registrar of Assurances. * B) It is a bailment of security; the depository participant marks a formal "lien" on the shares in favor of the lender, preventing transfer. * C) It is an equitable assignment; the promoter retains the right to sell the shares at any time. * D) It is a floating charge; it only crystallizes upon corporate liquidation. * **Answer:** B * **Rationale:** Under Section 172 of the Indian Contract Act, 1872, a pledge is the bailment of goods (or dematerialized securities) as security. For demat shares, the pledge is completed electronically when the depository participant (NSDL/CDSL) marks a **formal "lien"** in favor of the lender. This electronic lien blocks the shares, preventing the

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promoter from selling or transferring them without the lender's explicit release, while preserving the lender's right to liquidate them upon default.

**Question 4**

To ensure priority of security charge over a pledged demat portfolio against other creditors, within how many days must the lender register the charge on the CERSAI portal under the SARFAESI Act, 2002? * A) 10 Days * B) 30 Days * C) 45 Days * D) 60 Days * **Answer:** B * **Rationale:** Under the statutory provisions of the SARFAESI Act, 2002, and subsequent MCA guidelines, all security interest charges (including share pledges, hypothecations, and mortgages) must be registered on the **CERSAI portal and the ROC (Form CHG-1) within a strict window of 30 days** from the date of charge creation to preserve the secured creditor's priority status.

**Question 5**

A promoter group holding company utilizes a structured PMF facility to invest in the equity of their project SPV. If the holding company operates under the 25.17% corporate tax rate, under which section of the Income Tax Act, 1961, can they deduct the interest paid on this facility from their taxable corporate income? * A) Section 43B * B) Section 37(1) * C) Section 36(1)(iii) * D) Section 80IA * **Answer:** C * **Rationale:** Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for the purposes of the business or profession (including downstream equity investments in a project SPV) is a fully deductible business expense, allowing the corporate borrower to claim a valuable tax shield.

**Question 6**

A lender is structuring a Promoter Margin Funding facility for an infrastructure developer. To mitigate the risk of capital diversion, what is the most secure disbursement mechanism the underwriter should enforce? * A) Disburse the funds in a lump sum directly to the promoter's primary current account. * B) Disburse the funds in tranches directly into the project SPV's Equity Escrow / TRA Account. * C) Disburse the funds to the parent company's commercial paper clearing account. * D) Disburse the funds directly to the promoter's personal demat broker. * **Answer:** B * **Rationale:** To completely eliminate **capital diversion risk**, underwriters enforce a direct-to-escrow disbursement mechanism. The loan proceeds are routed directly from the lender into the project SPV's designated **Equity Escrow or Trust and Retention Account (TRA)**, satisfying the senior project lenders' equity requirements on Day 1 without passing through the promoter's general current accounts.

**Question 7**

Under the RBI's Loan System for Delivery of Bank Credit, what is the regulatory threshold of aggregate fund-based working capital limits above which banks must mandate a minimum 60% loan component? * A) ₹50 Crores * B) ₹100 Crores * C) ₹150 Crores * D) ₹200 Crores * **Answer:** C * **Rationale:** Under the RBI's **Loan System for Delivery of Bank Credit guidelines**, for large corporate borrowers with aggregate fund-based working capital limits of **₹150 Crores and above** from the banking system, banks must mandate a minimum **60% "loan**

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**component”** (in the form of WCDL or short-term term loans), with the revolving cash credit component capped at 40%.

### Question 8

According to national commercial credit data compiled by SIDBI and public sector banks, which segment represents the largest concentration of working capital borrowers (at 44% of active commercial borrowers) in the ₹10 Lakh to ₹2 Crore segment? * A) Infrastructure Sub-contractors * B) Renewable Energy SPVs * C) Retail and Wholesale Traders * D) Auto Component Manufacturers * **Answer:** C * **Rationale:** The SIDBI MSME Pulse Report highlights that **Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore exposure segment, underlining the high demand for structured flow-based financing.

### Question 9

A promoter has pledged shares of a listed company to secure a PMF facility. If the bank fails to execute a formal credit review and renewal of this limit, how many days from the scheduled review due date can pass before the facility is classified as a technical default under RBI IRACP guidelines? * A) 90 Days * B) 120 Days * C) 180 Days * D) 365 Days * **Answer:** C * **Rationale:** Under the RBI’s **IRACP Guidelines**, commercial banks must review and renew working capital and short-term limits annually. If a bank fails to review or renew an active limit within **180 days** from its scheduled renewal due date, the facility is automatically classified as a technical default and downgraded to an NPA.

### Question 10

During the underwriting of a Promoter Margin Funding facility, the lender analyzes the parent company’s balance sheet. If the underwriter applies the Tandon Committee’s Second Method of Lending, what is the minimum Current Ratio the parent entity must maintain? * A) 1.00:1 * B) 1.15:1 * C) 1.33:1 * D) 1.50:1 * **Answer:** C * **Rationale:** Under the **Tandon Committee’s Second Method of Lending**, the borrowing entity (or parent guarantor) must maintain a minimum Current Ratio of **1.33:1** (representing a Net Working Capital contribution of at least 25% of current assets from long-term sources).

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